Earnings update

McKesson Q2 2027: a 9% EPS beat and higher guide meet a full multiple

6 November 2026 · Syz Research

McKesson distributes medicines and medical supplies to pharmacies, hospitals and clinics, and runs oncology and prescription technology businesses. North American Pharmaceutical is 82% of revenue. Q2 2027 revenue was $111bn. Listed in New York.

Key takeaways

Result Adjusted EPS of $11.68 beat consensus by 9.0% and grew 18% year on year.

Engine North American Pharmaceutical profit rose 22% to $1.04bn, 14.8% above consensus.

Guidance Fiscal 2027 adjusted EPS guide raised 3.1% at the midpoint, to $45.60–46.40.

Reaction Shares rose 0.24% on 5 November, 7.2% since 3 November: the beat looks priced in.

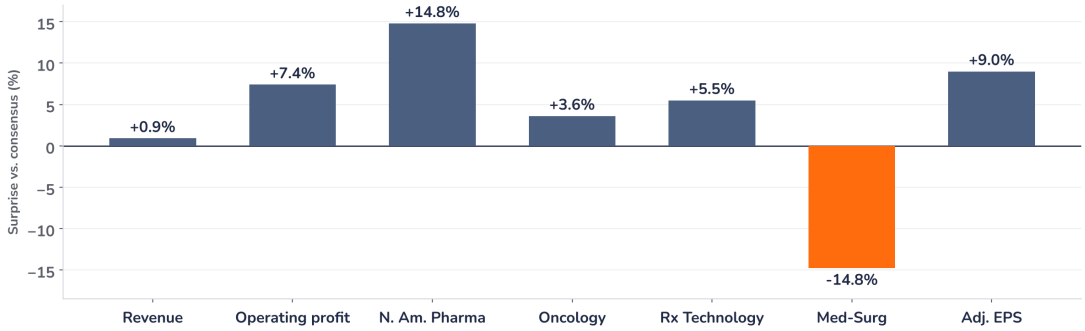
Revenue	Adjusted EPS	Adjusted operating profit	FY27 EPS guide, midpoint
$110.96bn	**$11.68**	**$1.85bn**	**$46.00**
+0.9% vs. consensus	+9.0% vs. consensus	+7.4% vs. consensus	+3.1% vs. prior guide

Results: the beat was large, the reaction small

Adjusted EPS beat consensus by 9.0% and revenue by 0.9%, yet the shares rose only 0.24% on 5 November, taking the gain since the 3 November close to 7.2%. Forward EPS rose 2.4% over the same days, so the multiple did most of the work: 21.7x, a 55% premium to the 14.0x average since 2005. We think the beat was largely in the price.

Chart 1 · MCK: Q2 2027 results vs. Bloomberg consensus

Surprise vs. Bloomberg consensus, % · revenue, adjusted operating profit by segment, adjusted EPS



Every profit line beat except Medical-Surgical, which came in 14.8% below consensus. North American Pharmaceutical beat by 14.8%, Prescription Technology Solutions by 5.5% and Oncology and Multispecialty by 3.6%. The EPS beat of 9.0% exceeds the 7.4% operating profit beat, helped by a 6% lower diluted share count. Operating leverage was visible: operating expenses fell 141bp as a share of gross profit.

Base case and implications

We underwrite 12-month forward EPS of about $51, 3% above consensus, in line with the 3.1% lift in the guide midpoint to $46.00. At 21x that gives about $1,070, today's price, so we see the risk/reward as balanced. Upside is $1,150 (EPS of $53 at 21.7x, +7%). Downside is $945 (today's EPS at the one-year average P/E of 19.1x, −12%), level with the 40-day average of $943. Next tests: the Q3 print and the Medical-Surgical separation terms.

What would strengthen our view

North American Pharmaceutical profit growth of 20% or more in Q3, after 22% in Q2. Consensus fiscal 2027 EPS above $46.40, the top of the guide. Medical-Surgical profit holding above $225m.

What would change our view

North American Pharmaceutical profit growth below 15% as GLP-1 volumes normalise. Prescription Technology profit growth below 10%. A price above $1,150 without an EPS upgrade.

Beyond the key takeaways

Results: pharma distribution did the work

North American Pharmaceutical revenue rose 6% to $91.36bn and adjusted operating profit rose 22% to $1.04bn, from 19% growth in Q1, on higher volumes from health systems, retail national accounts and specialty products. GLP-1 distribution revenue reached $16bn, up 26%. Oncology and Multispecialty revenue grew 24% to $14.98bn and profit 8% to $427m; excluding a $51m net gain in the prior year, profit grew 23%, although margin fell 45bp. Prescription Technology Solutions profit grew 18% to $307m, helped by Medicare GLP-1 Bridge enrolment while prior-authorisation volumes began to normalise. Medical-Surgical profit fell 10% to $225m on ambulatory product mix and separation charges.

Surprise and reaction diverge: a 9.0% EPS beat produced a 0.24% gain on 5 November. The confirmed facts are the 7.2% rise from the 3 November close, which took the P/E from 20.7x to 21.7x, and consensus EPS rising only 2.4% over the same days. The most likely reading is that positioning had already absorbed the beat; this is consistent with, but not confirmed by, the price standing 13.7% above its 40-day average. Medical-Surgical profit, 14.8% below consensus, also tempered the print. Forward EPS of $49.4 already sits 7% above the guide midpoint, so the market is valuing fiscal 2028 earnings.

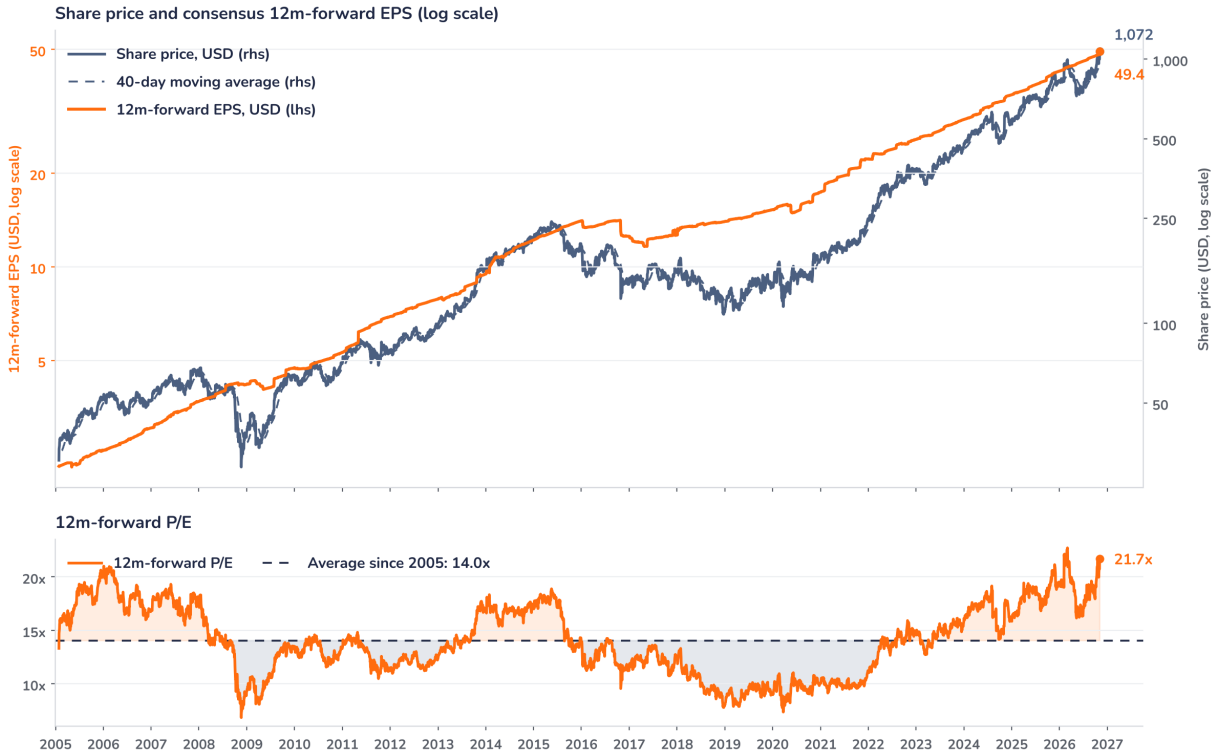
Outlook: guide raised, deals add from fiscal 2028

Management lifted fiscal 2027 adjusted EPS guidance to $45.60–46.40 from $44.20–45.00, which implies 19% to 21% growth, above the long-term 13% to 16% target. The company closed the $2.25bn acquisition of Precision Medicine Group and announced a $1.4bn investment for a 49% stake in Option Care Health. The CVS Health contract now runs through 2032. Analysts estimate accretion from Precision Medicine Group at $1.60–1.80 per share by year three. Prescription Technology Solutions targets 10% to 13% profit growth and delivered 18%; the Bridge program added an estimated 3 to 4 points, so we model growth easing towards the target range.

Valuation: 55% above the long-run average

Chart 2 · MCK: share price vs. consensus earnings and valuation

MCK US Equity, daily · BEst 12m-forward consensus · 40-day simple MA · log scale · P/E shaded above (orange) / below (blue) its 2005 to 2026 average · last price is the 5 November close



Over 12 months the price rose 27% to $1,072 and 12-month forward EPS rose 19% to $49.4, so earnings carried most of the move. The P/E stands at 21.7x, a 55% premium to the 14.0x average since 2005, 13% above its one-year average of 19.1x and just below the 22.7x peak of 3 March 2026. The price is 13.7% above its 40-day average of $943. A 10% EPS upgrade at an unchanged price would bring the P/E to 19.7x, close to the one-year average.

SYZ Source: Syz Research, Bloomberg, company filings, analyst research as of 5 November 2026

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